
WHERE THE MONEY SITS

Why gold keeps taking your stop, and what to do about it.

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FIRST EDITION

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Please read this first

This book explains how the gold market works. It is not advice about what to buy or sell.

I do not have a financial services licence. I am not telling you to trade. I know nothing about your money, your job or what you are trying to do, so nothing in here is meant for your situation.

Every chart in this book already happened. Nothing in here is a guess about what will happen next.

Trading gold with borrowed money is risky. Most people who try it lose money. You can lose more than you put in. If you want proper advice, go and see someone who is licensed to give it.

Read this as an explanation of how something works. Not as instructions.

WHO THIS IS FOR

You have been trading gold for six months to a couple of years. You have a platform, some sort of plan, and a growing feeling that something bigger is going wrong.

You have noticed that price seems to reach your stop with strange accuracy, and then goes the way you thought it would go in the first place. You have wondered if that is bad luck or something else.

You may have heard words like liquidity, sweep, and order block. You may have watched a lot of videos about them. You still could not explain any of them in one sentence.

If that sounds like you, keep reading.

WHO THIS IS NOT FOR

If you want someone to tell you what to buy this afternoon, this is not that. There are no calls in this book. No signals. No guesses about where gold is going.

If you want a system with a win rate printed on the front, that is not here either. I make no claims about how well anything works, on purpose. Be careful with anyone who does.

If you want to be told the market is rigged and none of it is your fault, Chapter 3 will annoy you.

HOW TO READ IT

Read it in one go if you can. About ninety minutes.

Part 1 explains why it happens. Part 2 shows you the spots on the chart where it happens. Part 3 is the clock. Part 4 is the order things happen in, start to finish, with examples that worked and examples that did not.

Part 5 is the bit most books leave out. It is an honest look at what it takes to do this every day, from a normal life, with a job.

You will finish with a map and a checklist. You will not finish with something that trades by itself. There is no such thing.

PART ONE

Why your stop keeps getting hit



Chapter 1

The trade you keep losing

It is Tuesday. Gold has spent all morning going sideways in a twelve dollar range, sitting just under yesterday's high like it is making up its mind.

You have watched it for three hours. It looks good. The lows keep getting higher. It is squeezing tighter. Yesterday's high is right there at 4,082 and everyone can see it.

Price pushes up into it. Stops. Pushes again.

Then it goes. One clean candle straight through 4,082. No mucking about. Closes above.

This is the break you waited three hours for, so you take it. You get in around 4,084. You put your stop under the range at 4,078, which seems sensible.

Price runs to 4,086. You are up. You think about moving your stop up to breakeven, then decide to give the trade room, because that is what patient traders do.

Then it comes back. Not fast. It just drifts. 4,084. 4,082. Back inside the range you just broke out of, which is annoying. 4,080. Now you are worried. 4,078.

Gone.

You sit there for about a minute and a half. In that minute and a half, gold drops through 4,070, then 4,060, and keeps going. By the end of the day it is at 4,048.

The move you wanted was there the whole time. It was just going the other way. And you were on the wrong side of it, after doing everything you were taught to do.

You have done this before. You have done this eleven times.

The feeling afterwards is one most traders will not admit to. It feels personal. It feels like the market waited for you. You know that a market cannot see your account. You have told yourself that many times. It has never once made the feeling go away.

Here is the uncomfortable part.

The feeling is close to right. Not because someone was looking at your account. Nobody was, and Chapter 3 deals with that properly. But the move up to 4,086 happened because of orders like yours. And the move down to 4,048 could not have happened without them.

You were not caught in the crossfire. You were the fuel.

That sounds grim. It is the most useful thing you will read this year. Because if something happens for a reason, you can map it. You cannot map random. You can map a reason.

The rest of this book is that map.

Chapter 2

Your stop is someone else's cheap buy

When you put in a stop loss, it feels like a seat belt. Something that keeps you safe while you are away from the screen.

It is not. A stop loss is a sell order that has not gone off yet.

When gold drops to your stop, your broker does not close your trade quietly in the corner. It sends a sell order into the market. Someone has to buy it. That someone gets to buy gold from you, at the worst moment for you, at a price they picked.

Now think about this. You are not special.

You put your stop a few dollars under yesterday's low, because that seemed sensible. So did everyone else. There are hundreds of accounts with sell orders sitting in the same three dollar band, waiting for the same price to show up. Every one of those is a seller who will appear the second price gets there.

Now imagine you need to buy a lot of gold. A serious amount. More than the market can hand you at the current price without the price running away from you.

Where would you want price to go first?

Right there. Exactly there.

Not because anyone knows who you are. Because that is where the sellers are.

If a big buyer just starts buying at the current price, they push it up against themselves. Every dollar they buy costs more than the last one. But if price drifts down into a pocket where hundreds of stop orders are waiting, all those sellers turn up at once. The big buyer fills their whole order without chasing anything.

Those stops are not in their way. Those stops are the reason they went there.

That is the whole idea. It is worth reading twice, because everything else in this book sits on top of it.

Price does not move towards what something is worth. It moves towards where the orders are.

Once you get that, the chart stops looking random.

The three dollar poke below the low that felt like bad luck was not bad luck. It was the point of the whole move. The turn straight afterwards was not the market changing its mind. It was the market doing what it came to do and leaving.

And you can see it coming, because those orders are not hidden. They pile up in a handful of obvious places. Yesterday's high and low. The edges of the overnight range. Round numbers. The twin peaks everyone calls resistance.

You already know where they are. You have been drawing them for months.

You have just been trading them backwards.

SAME THING, OTHER SIDE

There is a second version of this worth holding in your head.

Stops are one kind of waiting order. The other kind is people trying to get in at a better price. Buy orders sitting under the market. Sell orders sitting above it.

Both kinds pile up in the same spots, for the same reason. People put them around the obvious lines. And both do the same job for a big buyer or seller. Whether the orders under yesterday's low are stops from people getting out, or buy orders from people trying to get in cheap, it does not matter. They are orders. Orders are what a big player is hunting for.

So when this book says there is money sitting at a level, it means the same thing every time. A price where an unusual number of orders are waiting. Which makes it worth going to.

WHY THIS EXPLAINS YOUR TUESDAY

Go back to Chapter 1.

Gold sat under 4,082 for three hours. During those three hours, two piles were building up.

Above 4,082 were the stops of everyone who was short. Plus the buy orders of everyone waiting for the break.

Below the range, around 4,078, were the stops of everyone who was long. Including yours, eventually.

The pile above was bigger. Three hours of coiling under an obvious high builds a lot of interest in that break. Everyone could see that line. That is exactly what made it worth going to.

Price went above 4,082, took the lot, and left.

Your entry at 4,084 was not stupid, going by what you had been taught. It was wrong going by what was actually happening. Which is a different problem, and a fixable one.

Chapter 3

Nobody is out to get you

Most people get to this point and land on a conclusion that feels obvious and is wrong.

The conclusion is: the market is rigged. There is a group of people who can see my stop and they go and hunt it. Small traders cannot win because the game is fixed.

I want to pull that apart, because if you believe it you will stop getting better. Someone who thinks the game is fixed has no reason to improve. Every loss becomes proof instead of information. It is the most expensive thing you can believe in this business.

Here is what is true and what is not.

Nobody can see your stop. Your broker knows where it is. That information does not go anywhere useful. There is no shared list of small traders' stop orders. No bank is looking up your account number. The idea falls apart the moment you look at how any of this is actually wired together.

Nobody needs to see your stop. This is the part that matters. They do not need your particular order, because they can work out where everyone's orders are by looking at the same chart you are looking at.

Yesterday's high is not a secret. The overnight range is not a secret. The round number at 4,050 can be seen from space.

If you needed to find a lot of sellers, you would not need inside information. You would need a chart and ten seconds.

There is no meeting. Nobody is coordinating this. What there is, is a lot of separate players who all need to buy or sell more than the market can hand them at the current price. They have all worked out the same answer on their own. Go where the orders are.

That is not a plot. That is just a market working the way a market works. It would happen even if nobody meant any harm. And nobody does.

WHY THIS MATTERS IN REAL LIFE

Two traders watch the same fake move below yesterday's low.

The first one thinks: they hunted my stop again. That gives you anger, then a revenge trade, then a worse day. It also teaches you nothing, because "they did it" explains everything equally well, which means it explains nothing.

The second one thinks: there were a lot of orders under yesterday's low, price went and took them, and now the sellers who were sitting there are gone.

That is a fact about the state of the market. You can do something with it. It tells you something about what might happen next. The selling that was parked below the low is not parked below the low any more.

Same event. One version makes you tilt. The other gives you an idea.

WHAT YOU ACTUALLY HAVE GOING FOR YOU

Worth being honest about the gap, because pretending it is not there is its own kind of kidding yourself.

You are slower. Your information is worse. You cannot see who is buying or selling. Your costs are higher. In a race for speed you lose every time, by a lot.

What you have is this. You do not have to trade.

A bank trader has to be in the market. A fund with a position has to look after it. A computer program has to run. You can sit out for four days and nothing happens to you. No boss. No review. No explaining yourself to anyone.

You can wait for the one thing you understand, in the two hours where it usually shows up, and do nothing the rest of the time.

That is not a small edge. It is the only real edge a small trader has. And almost nobody uses it, because sitting out feels like failing.

The market is not against you. It does not know you exist. That is different, and much better, because you can study something that does not care about you.

PART TWO

Where the money sits on a gold chart



Part 1 said price goes to where the waiting orders are. This part shows you where those orders sit.

There are seven spots worth drawing. That is the whole list.

Most of them are lines you already draw, or could draw in a minute. Nothing here needs a fancy tool to find. What changes is not the lines. It is what you do when price gets to one.

Each chapter is the same shape. What the line is. Why orders pile up there. What a fake move through it looks like. What a real break looks like instead.

The repeating is on purpose. By Chapter 10 you should be able to do this yourself on a line I have not mentioned.

Chapter 4

Yesterday's high and low

What it is. The highest and lowest price gold traded yesterday. Two flat lines, stretched out to the right.

The only tricky bit is when yesterday started and finished. For gold, go by the New York day, not whatever your platform does by default. Chapter 11 explains why and gives you the times.

Why orders pile up there. These are the two most watched lines in the whole market. They are powerful because they are obvious.

Everyone who bought yesterday and is still holding put a stop somewhere under yesterday's low. That is the price where they were wrong. Everyone who sold did the same thing above yesterday's high.

Then add the people waiting to jump in the moment either line breaks. And the people betting on a bounce, whose orders sit just past both lines.

Four different groups. Four different plans. All pouring orders into the same two narrow bands. Nothing else on the chart pulls in that much interest.

What a fake move looks like. Price comes down to yesterday's low, often slowly. It trades a bit past it. On gold that is usually two to eight dollars, more if the day is wild. Then it comes back above the line, normally in the same candle or the next one.

The giveaway is the tail. A fake move leaves a long spike underneath, with the body of the candle back inside. On a one minute chart it looks like a quick stab down. On a fifteen minute chart the same thing turns into one candle with a long tail and a body sitting back where it started.

The other giveaway is speed. Fake moves go fast and come back fast. Price did not go there to hang around. It went to collect and leave.

What a real break looks like. Price goes below yesterday's low and stays there. Candles close below it. It comes back up to touch the line from underneath and gets pushed away. The old floor is now a ceiling. Then it carries on down.

The difference is whether price settles. A fake move gets rejected within a few candles. A real break settles, holds, and often comes back to touch the line from the other side. If price has been below yesterday's low for forty minutes and is making lower highs down there, that was not a fake move.

NOTE

These two lines do more work than anything else in this book. If you draw nothing else, draw these.

CHART 4.1

Yesterday's high and low marked, and what price did at each.

CHART 4.2

Side by side: a fake move below yesterday's low, and a real break of it.

Chapter 5

The overnight range

What it is. The high and low of the quiet overnight session. Roughly 8pm to midnight New York time. Two lines, making a box.

On gold this box is usually twelve to twenty five dollars tall. It is the quietest part of the day.

Why orders pile up there. The quiet is the whole point.

Overnight, gold usually goes nowhere. Not many people are trading. Price bounces around in a narrow band for hours. Every bounce creates traders who decide the box is the truth. They sell the top and buy the bottom. Their stops go just outside the box.

By the time London wakes up, that box has hours of people's opinions stacked on both edges. It is a trap the market built by doing nothing for four hours.

What a fake move looks like. London opens and price shoots out of one side of the box, usually within the first hour or two. It runs past the edge, sometimes only by a few dollars, then turns around, comes back inside, and heads to the other side.

The tell is that the first move goes the opposite way to where the rest of the day ends up. Gold pops above the overnight high, everyone who was short is stopped out, everyone watching for a break is now long, and then gold spends the rest of the day going down.

This happens often enough to have a whole chapter. Chapter 12.

What a real break looks like. London opens, price leaves the box, and just keeps going. It does not come back inside. The overnight high turns into the floor when price touches it again.

This usually happens when there is real news pushing things along, or when a bigger move was already under way and the quiet night was just a pause.

NOTE

Draw this box even on days you have no plan to trade. It sets up everything that comes after.

CHART 5.1

The overnight box, London popping above it, then turning and going down all day.

CHART 5.2

The other version. Clean break above the box that holds.

Chapter 6

Round numbers, and why gold is different

What it is. Whole dollar prices. On gold, anything ending in a zero. 4,050. 4,060. 4,100. The ones ending in double zero matter more.

Why they matter more on gold. On most currency pairs a round number is just a head thing. It matters because people like round numbers. That is real but soft.

On gold it is more solid than that.

Gold is priced in dollars an ounce. It gets bought, sold, insured and reported in whole dollars by people who are not day traders. Jewellery makers. Metal dealers. Mining companies protecting the price they will get. Big funds moving money in and out. None of them care about a fifteen minute chart, and all of them think in round numbers.

When a mining company decides to lock in a price at 4,100, the order goes in at 4,100. Not at 4,097.60.

So gold's round numbers have real orders behind them from people who have no interest in chart patterns at all. Put everyone else's round number stops on top of that and you get a shelf.

Use ten dollar steps. Mark three above and three below wherever price is now. Anything further out does not matter today. Give the hundred dollar ones extra respect.

What a fake move looks like. Price walks up to a round number, goes through by one to four dollars, and snaps back. These are often the shallowest fake moves you will see, because the orders are stacked tight around the exact number instead of spread out.

What a real break looks like. Price closes through the number and then sits above it for a while before carrying on. The sitting is the tell. A real break of a round number usually means price pauses there, builds a little base, and uses the number as a floor.

NOTE

These are the only lines in this book you can draw on a chart you have never seen before, in ten seconds, with no history at all.

CHART 6.1

Gold at a hundred dollar number, pushed away a few times, then settling above it.

CHART 6.2

Close up of a two dollar poke through a ten dollar number, then a fast turn.

Chapter 7

Twin tops and twin bottoms

What it is. Two or more peaks at roughly the same price. Or two or more dips at roughly the same price. On the chart it looks like a flat ceiling or a flat floor. Most people call it a double top or double bottom.

Roughly means within a dollar or two on gold. They do not need to match exactly.

Why orders pile up there. Because this is the most recognisable pattern in the whole of chart reading, and every beginner course in the world teaches it as a turning point.

Someone watches price get pushed away from 4,082 twice. The obvious thought is that 4,082 is resistance. The obvious trade is to sell there with a stop just above. The second, third and fourth person to spot it do exactly the same thing.

So what builds up above a flat twin top is a tight, crowded pile of stops belonging to people who are all short, all from about the same price, all with their stop in the same two dollars.

Here is the hard bit, said plainly. The more obvious a line looks, the more orders sit behind it, and the more worth going to it becomes.

Twin tops are not strong because they held twice. They are a magnet because they held twice.

Those are not the same thing.

What a fake move looks like. Price runs through the flat line, takes out both peaks, and turns straight around. The push through is often sharp, because a tight pile of stops going off one after another makes a fast candle. The turn back is just as fast.

Twin tops and bottoms give you some of the cleanest fake moves on the chart, exactly because the pile is so tight.

What a real break looks like. Price runs through and just keeps going instead of turning. It settles above, and the flat line becomes the floor.

This does happen. The pattern is a magnet, not a promise. If the bigger picture is pulling hard enough, price will use that pile of stops as fuel and carry on the same way.

NOTE

These behave a bit differently to the other lines in this part. Chapter 10 explains why. Keep them in mind.

CHART 7.1

Flat twin top on gold, run through, straight turn back down.

CHART 7.2

Flat twin top run through that kept going. The one that costs you money if you assume it will turn.

Chapter 8

The starting prices nobody draws

What it is. Three lines almost nobody marks.

- **Where today started.** The price when the New York day began.
- **Where this week started.** The price when the week began, Sunday evening New York time.
- **Where midnight was.** The price at midnight New York, which most days is the same or very close to where today started.

Why they matter. These are not piles of stops like the other lines. They work differently, and they do two separate jobs.

Job one. Price keeps coming back to them. Gold will run forty dollars away from where the day started and then, hours later, come back and touch it. This is not magic. The starting price is where everyone's positions began. A lot of that gets unwound or balanced back towards it. As a place to take money off the table, where the day started is one of the more dependable spots on the chart.

Job two. It tells you something simple. Where price sits compared to where the day started tells you one useful thing. Are people paying more than they were this morning, or less?

Above the start, today is dear. Below the start, today is cheap.

That one idea, used every day, throws out a lot of bad trades. Because buying in the dear half of the day and selling in the cheap half is a good description of how most small traders lose money slowly.

Where the week started does the same job over a longer stretch. It is handy on a Wednesday or Thursday, when today's story has run out but the week's has not.

What to watch for. Two things. Price coming up to one of these lines and bouncing or stalling. And price using one of them as a destination when it pulls back, touching it exactly and then carrying on.

NOTE

These are free lines. Fifteen seconds to draw. Almost nobody bothers. Which is exactly why they are worth drawing.

CHART 8.1

A day where price ran well above the starting price, came all the way back to touch it, then carried on.

CHART 8.2

Where the week started, holding up across five days.

Chapter 9

The big monthly highs and lows

What it is. The highest high and lowest low of the last twenty, forty and sixty trading days. Six lines. Update them once a day.

Why orders pile up there. Everything so far has been about people trading today or this week. These lines are about the slower money.

Someone holding gold for three weeks does not have their stop under yesterday's low. Their stop is under the low of the last month, because that is the price where their whole idea falls over. People running long term programs and slower systems all end up around the same monthly highs and lows for the same reason.

There are fewer orders at these lines but they are much bigger, and they take weeks to build up. When gold finally reaches a sixty day high after grinding towards it for a month, what is waiting there has been piling up for a month.

What a fake move looks like. Same shape as everything else, just bigger and slower. On gold the poke past might be ten or twenty dollars instead of three, and the turn can take hours instead of minutes. On a short term chart it might not look like a fake move at all until you zoom out.

What a real break looks like. Price settling above a twenty day high often starts a genuine run, because the people who were pushing back have now been cleared out. These are the lines where a break is most likely to be real rather than a trap.

The second use. These are the most honest answer to where do I take my money off?

If you are long and the next real pile of orders is at the twenty day high, forty dollars above, that is a target with a reason attached. Much better than a number you picked because it made your risk to reward look nice.

NOTE

Six lines, updated once a day. They answer both where might it go and where do I get out. Cheap for what you get.

CHART 9.1

Twenty, forty and sixty day highs and lows drawn on a daily chart.

CHART 9.2

Price reaching the twenty day high, poking through, turning over the next two days.

Chapter 10

The two layer trap

This is the most valuable chapter in Part 2, and it is the one almost nobody teaches. If you take one thing from this book past the basic idea, take this.

THE PROBLEM WITH EVERYTHING YOU JUST READ

The last six chapters might have left you with a picture that is a bit too simple. Find line. Wait for fake move. Trade the turn.

Try that for a week and you will find the hole in it.

Price fakes through a line. You take the turn. Price immediately carries on to a second line, twelve dollars further out. That is where the real turn happens. And you cannot be part of it, because you are already stopped out.

You were not wrong about how it works. You were wrong about which pile price was going for.

TWO KINDS OF LINE

The lines in Part 2 are not equal. They split into two groups that behave differently.

Small piles sit inside the current range. Twin tops and twin bottoms are the clearest example. They form during normal trading, they show up on a fifteen minute chart, and they are made by short term traders.

Big piles sit at the outside edges. Yesterday's high and low. The overnight range edges. The monthly highs and lows. The main round numbers. These are the walls of the box price has been moving inside.

Here is the difference that matters. Small piles are small. Big piles are big.

A twin top that formed forty minutes ago holds the stops of people who got in over the last forty minutes. Yesterday's high holds the stops of everyone who has been in since yesterday.

If you needed to fill a serious order, one of those is worth the trip. The other is a snack.

WHAT ACTUALLY HAPPENS

What you get, over and over, is a two step move.

First price takes the small pile. It runs the twin tops. Everyone watching a fifteen minute chart decides the fake move has happened and the turn is on. Some of them get in.

Then price carries on to the big pile. It runs yesterday's high, where the real money was waiting. That is where the turn starts.

The first fake move did two jobs. It picked up a small pile. And more importantly, it created a fresh batch of traders now sitting on the wrong side, whose stops become the fuel for the run to the bigger line.

The first fake move is not the trade. It is the bait.

HOW TO USE THIS

You do not need to guess which is which ahead of time. You need to ask one question before taking any turn.

Is there a bigger pile just past the line that was faked?

If price fakes through twin tops at 4,072 and yesterday's high is sitting at 4,082, the answer is yes. There is ten dollars of unfinished business above you. That does not mean the turn will not happen. It means the odds are worse, and you would be trading in front of a magnet.

If price fakes through yesterday's high at 4,082 and there is nothing above it for forty dollars, the answer is no. That one deserves your attention.

This one question will save you more money than any setting you will ever change.

THE SHORT VERSION

Draw both kinds of line. When a small pile gets faked, treat it as a clue about what comes next, not as a reason to trade. Save your real attention for the big piles with clear space past them.

Most people learn how this works and then apply it to the first line that gets faked, because that is the one with the most exciting candle. The exciting candle is usually the bait.

CHART 10.1

Twin tops faked, small turn, then a run to yesterday's high where the real turn happens. Both lines labelled.

CHART 10.2

The clean version. A big pile faked with nothing above it.

PART THREE

The clock



Part 2 gave you the map. This part gives you the timetable.

The same line behaves completely differently at 3 in the morning New York time than it does at 9. A lot of what looks like a broken strategy is just a good strategy used at the wrong hour.

Chapter 11

Gold runs on New York time

Gold trades nearly twenty four hours a day, five days a week. For most of those hours nothing worth watching happens.

The hours that matter are set by where the people are. Not where you are. That sounds obvious and gets ignored all the time, including by people who have traded for years with their chart set to their own local time without ever thinking about it.

Set your chart to New York time. Every session, every window in this book, every real turning point in the gold day is measured against that clock.

If your chart is on Melbourne time, your day starts in the middle of the London session and your daily candles are measuring something nobody actually trades.

This takes four seconds to change and it is the best four seconds in this book.

THE FOUR PARTS OF THE DAY

Overnight, 8pm to midnight New York. Quiet. Narrow. Price goes nowhere. This is where the box from Chapter 5 gets built.

London, from about 2am New York. People arrive. The first real move of the day usually happens in the first two or three hours. The window from 2am to 5am is where the overnight box normally gets sorted out, one way or the other.

New York, from 8:30am. The busiest stretch of the day, because London and New York are both open. Big news comes out at 8:30. The window from 8:30 to 11am has more going on than any other time in the twenty four hours.

Everything else. London going home, the New York afternoon, and the dead patch overnight. Thin, going nowhere, and expensive to trade because the costs go up while the movement does not.

WORKING OUT THE TIMES FROM AUSTRALIA

This is the awkward part about trading gold from here, and it is worth doing properly once instead of guessing every day.

The gap between New York and Melbourne is not fixed. Both places change their clocks, at opposite times of year. That gives you three different gaps across the year.

WHEN	MELBOURNE IS AHEAD BY
Early April to early October	14 hours
Mid March to early April, and October	15 hours
Early November to early March	16 hours

Put that against the windows that matter:

WINDOW	NEW YORK	MELB +14 APR-OCT	MELB +15	MELB +16 NOV-MAR
Overnight box builds	8pm to midnight	10am to 2pm	11am to 3pm	midday to 4pm
London window	2am to 5am	4pm to 7pm	5pm to 8pm	6pm to 9pm
New York window	8:30am to 11am	10:30pm to 1am	11:30pm to 2am	12:30am to 3am
The best hour (Ch 13)	10am to 11am	midnight to 1am	1am to 2am	2am to 3am

Now be honest about what that means.

In winter here, the London window is dinner time and New York starts at half past ten at night. In summer, London is your whole evening and New York starts after midnight.

There is no version of this that is convenient. That is a real problem with trading gold from Australia and pretending otherwise helps nobody.

What it does mean is that the overnight box, which builds during your late morning and early afternoon, is the one part of the gold day you can watch in comfort. And it is the part that sets up everything else.

WHY THE CLOCK CHANGES EVERYTHING

A fake move through yesterday's high at 4am New York, inside the London window, has real volume behind it and hours of session left to run.

The exact same fake move at 3pm New York, in the thin afternoon, is a different animal. Same pattern. Same line. Far less reason to expect anything to follow, because the people who would have made it follow have gone home.

The pattern is not the trade. The pattern in the right window is the trade.

CHART 11.1

A full 24 hours of gold with the four parts of the day shaded and labelled in New York time.

Chapter 12

The London trap

There is one pattern on the gold chart that shows up more than any other. It is the one that gave you the Tuesday in Chapter 1.

WHAT IT LOOKS LIKE

Overnight, gold builds a box over four quiet hours. London opens. Within the first hour or two, price shoots out of one side of that box. Clean. Convincing. A candle that leaves no doubt.

Everyone watching decides the day's direction is now settled. People jump in on the break. People on the wrong side get stopped out.

Then price turns around, comes back through the whole box, and spends the rest of the day going the other way.

That first move was not the direction. It was how the real direction became possible.

WHY IT HAPPENS

By the time London arrives, that box has a pile of orders on each edge.

Someone who needs to build a big position at the start of the European day has a problem. The amount they need is not sitting there at the current price.

Pushing price into one of those piles fixes it. A move up above the overnight high sets off the stops of everyone who was short, pulls in everyone buying the break, and creates a burst of buying. Which is exactly what a big seller needs to sell into.

Once they have what they wanted, there is no reason for price to stay up there. It goes where it was always going. And the people who bought the break become the fuel for the first leg down.

HOW TO SPOT IT WHILE IT IS HAPPENING

Three things separate the trap from a real London break.

It comes back fast. The move past the box does not hold. Within thirty to ninety minutes price is back inside. A real break does not come back inside. It touches the edge from outside and carries on.

Nothing follows it. The first candle is often the biggest of the whole move. What comes after is smaller candles and stalling. Real moves get bigger, not smaller.

It goes against the day's lean. This is the strongest tell, and it is why Chapter 8 mattered.

If price is sitting well below where the day started, in the cheap half, and London's first move is a push up through the overnight high, then that push disagrees with where the day has already positioned itself.

Moves that disagree with the day's lean are more often collecting than going somewhere.

WHAT IT TELLS YOU

Once the trap has sprung and price is back inside the box, the useful bit is this. The pile on that side has been cleared out. The people who were positioned that way have been removed.

Whatever comes next has less standing in its way in the opposite direction than it did an hour ago.

That is not a signal. It is a change in the state of things. Part 4 explains what has to happen before you can do anything with it.

CHART 12.1

Overnight box, London pushing above it, coming back inside, then a long move down through New York.

CHART 12.2

A real London break for comparison. It gets bigger, touches the edge from outside, and keeps going.

Chapter 13

New York, and the best hour

The New York session is the busiest part of the gold day, and it has its own shape worth knowing.

THE OPENING STRETCH

From 8:30 New York the market changes character. London is still going, New York turns up, and for the next two and a half hours gold has more people in it than at any other time.

Two things happen in this stretch.

First, the big scheduled news comes out at 8:30. Inflation numbers, jobs numbers, that sort of thing.

Second, New York often does to London what London did to the overnight session. It fakes through the lines London made.

That second point is the useful one. The pattern stacks up fairly reliably. London fakes through the overnight range. New York fakes through London's range. If London built a range between 2am and 8am, the New York open often takes out one edge of it before the day's real move gets going.

THE BEST HOUR

Inside the New York session there is one hour, 10am to 11am New York, that has a reputation among day traders for clean, self contained moves.

The reason is practical, not mystical. By 10am the first reaction to the 8:30 news has been absorbed. The wild swinging around the open has settled down. London is finishing up and unwinding. What tends to be left is a move with a direction and enough people in it to keep it going, without news muddying it up.

Whether that hour is genuinely special or just well placed is arguable. What is not arguable is that it is a short, clearly defined window with a consistent character. Short defined windows are much easier to trade than open ended ones. Especially if you have a job and cannot watch everything.

THE AFTERNOON

After 11am the numbers thin out through the New York afternoon. Moves that start in the afternoon are less likely to hold. Costs go up. The ratio of noise to anything useful gets worse and worse until the close.

For practical purposes the gold day is over by lunchtime New York.

CHART 13.1

New York session with the 8:30 open, the 10 to 11 window, and the afternoon quietening down.

CHART 13.2

New York faking through the London high before the day's real move.

Chapter 14

When not to trade

This is the shortest chapter in the book and probably the one worth the most money.

Everything so far has been about when this works. This is about when it does not, and sitting out during those times is a skill, not a lack of one.

LONDON GOING HOME

Roughly 11am to midday New York. London finishes up and leaves. What is left is drift. Thin, aimless movement that makes convincing looking patterns with nothing behind them.

Every line in Part 2 still exists during this hour. None of them mean anything, because there are not enough people around for a fake move to tell you anything about anyone's intentions.

NEW YORK LUNCH

Roughly midday to 1:30pm New York. Volume drops off. Ranges squeeze up. Price chops sideways in a band and throws out false signals in both directions.

Lunch is where a trader who already lost money in the morning goes to lose more. The squeeze looks like a coil before a move. Usually it is just an absence of people.

FRIDAY AFTERNOON

From about 3pm New York on a Friday. Everyone is closing their books before the weekend. Whatever price does in that window is people packing up, not anyone having a view. And holding through it means carrying weekend risk for nothing in return.

NEWS

Inflation figures, jobs figures, interest rate decisions. Usually 8:30am New York, with rate decisions in the early afternoon.

In the minutes around a big number, gold can move twenty dollars both ways in a minute and a half. Costs blow out. Stop orders fill at prices nowhere near where you put them. The whole idea of a fake move stops meaning anything, because everything is a fake move and nothing is.

Check a news calendar every morning. Write down the times. Be out of the market through them. That is not being scared. It is recognising that during those windows, the thing this book describes is not what is driving price.

DEAD DAYS

On top of the fixed windows there is a general one worth learning to spot. Days when gold simply is not moving. The range is half of normal, nothing expands in any session, and price never gets near a line worth reacting to.

There is no rule saying you have to trade every day. On a genuinely dead day you are expected to lose money before costs, and lose more after them.

TURNING THAT AROUND

Most traders treat time out of the market as failing. Worth flipping that on purpose.

You have one real advantage over every big player, and Chapter 3 named it. You do not have to be in the market. They do.

Using that advantage means being out during London's close, out through lunch, out on Friday afternoon, out through news, and out on dead days.

Add it up and that is a big chunk of every week where the right thing to do is nothing at all.

| Traders who last do this. Traders who do not, do not last.

PART FOUR

The four steps



This part is the engine of the book.

Parts 2 and 3 told you where and when. This part tells you the order things have to happen in before there is anything worth doing.

The reason to stick to an order is that each step on its own is worth nothing. A fake move with no proof is a guess. Proof with no plan is chasing. Getting in with no idea where you are wrong is hoping.

Do them in order and each step tells you whether to bother with the next one.

ABOUT THE EXAMPLES IN CHAPTERS 19 AND 20

These are written to show you the shape of each situation clearly. They are not a record of real trades and no claim is made about how well any of this performs. Learn the shape, then go and find it yourself in your own charts.

Chapter 15

Step 1: the fake move

A FAKE MOVE IS NOT A BREAK

These two look identical for about ninety seconds and then go completely different ways. Most of the money lost by people who half understand this gets lost in those ninety seconds.

A break is price leaving a line and staying gone. Candles close past it. It comes back to touch the line from the far side and gets pushed away. The line swaps jobs. What was a ceiling is now a floor.

A fake move is price leaving a line and coming straight back. It goes past, picks up what was waiting, and returns inside within a few candles. The line did not swap jobs. It just got visited.

The difference is not the first move. It is what happens right after.

THE FOUR THINGS THAT HAVE TO BE TRUE

One. It has to go past a line you drew beforehand. Not one you spotted afterwards. If the line was not on your chart before price got there, you are working backwards, and you will find a fake move in every wobble on the chart.

Two. It has to go past by a real but sensible amount. On gold that is roughly two to ten dollars, depending on how wild the day is. Half a dollar is nothing. Thirty dollars is not a fake move, it is a real move that happened to start at a line.

Three. Price has to come back inside. The candle has to close back on the original side, or the next one or two have to. This is what separates a fake move from a real break and there is no wiggle room on it. If price is still past the line several candles later, whatever is going on is not a fake move.

Four. It has to leave a tail. The look you want is a long spike with the body back inside.

A candle that runs up to 4,088, closes at 4,079, and opened at 4,078 has told you something specific. There were buyers all the way up to 4,088 and they got completely swamped. A candle that closes right at its high has told you nothing of the sort.

As a rough rule, the tail wants to be at least a third to a half of the whole candle. Less than that and the rejection was not convincing.

WHAT A FAKE MOVE TELLS YOU AND WHAT IT DOES NOT

It tells you one thing. The orders that were waiting past that line are gone. Whoever wanted them has them.

That is genuinely useful. It means the buying or selling that was parked there, which would have slowed down any move in that direction, is not parked there any more.

It does not tell you price is about to turn.

Plenty of fake moves lead to nothing. Price picks up the orders, drifts about, and does nothing for two hours. Others carry on in the original direction after a pause.

| A fake move opens the door. It does not walk through it. Something else has to.

That something else is Chapter 16, and it is the step almost everyone skips.

CHART 15.1

Anatomy of a fake move candle. Line marked, distance past it measured, tail and body labelled.

CHART 15.2

Three fake moves at the same line. One turned. One did nothing. One kept going.

Chapter 16

Step 2: the turn

THE STEP THAT SEPARATES WAITING FROM GUESSING

After a fake move, the most common mistake is to jump in straight away. Price wicked below yesterday's low and snapped back, the candle looks great, and the urge to buy it is huge.

Do not. Here is why.

Right at that moment you have proof that some orders got picked up. You have no proof at all that anything wants to go the other way.

What you are waiting for is a change in the direction price is being pushed. Other people call it a market structure shift. Ignore the phrase. Here is the plain version.

WHAT THE TURN ACTUALLY IS

Before the fake move, price was making lower peaks and lower dips on the way down. That is a downtrend on whatever chart you are looking at. While it lasts, every bounce is lower than the last one.

The turn happens when price closes the body of a candle above the last peak it made before the fake move.

That one event tells you something the fake move could not. The run of lower peaks has been broken. Whatever was pushing price down has stopped, and stopped hard enough to punch through the last bit of selling.

Flip it for the other direction. After a fake move above a high, you want a body close below the last dip.

BODY, NOT TAIL

This matters, and it is the most common way people get this step wrong.

A tail through the last peak is price visiting. A body closing past it is price settling.

Tails through old peaks happen constantly and mean very little. Closes past them are much rarer and mean much more.

If you find yourself squinting at a candle wondering whether it counts, it does not count. The real ones are obvious.

HOW LONG TO WAIT

The turn should follow the fake move reasonably soon. If price faked twenty minutes ago and has done nothing since, the whole thing is going stale.

Rough rule: if the turn has not shown up within about half an hour on gold, let it go.

There will be another one. There is always another one.

WHY THIS THROWS OUT SO MUCH

Most fake moves never produce a turn. Price picks up the orders, hangs about, and eventually carries on the original way without ever breaking its run of lower peaks.

By waiting for the turn you throw out every one of those. You will watch fake moves that would have worked and take nothing. That is the price, and it is worth paying, because the alternative is taking every fake move and finding out most of them were not turns at all.

CHART 16.1

Fake move below a low, the last peak marked, then a body closing above it.

CHART 16.2

Fake move below a low with no turn. Price drifts, then carries on down. The trade that waiting saves you from.

Chapter 17

Step 3: the pullback

WHERE YOU ACTUALLY GET IN

You have a fake move. You have a turn. Price has just pushed up hard and you are staring at a green candle you badly want to be part of.

Do not get in here.

The turn candle is by definition a big fast push. Getting in at the top of it means your stop has to sit all the way back below the fake move low. That gives you a big risk and a bad position. It also means you are buying at the dearest price of the whole thing so far.

What you want is the pullback.

WHY THE PULLBACK HAPPENS

After a sharp push, price nearly always comes back into part of it before carrying on. This is not decoration. There is a reason.

The fast move left something behind. An area price went through so quickly that not everyone who wanted to deal there got the chance. Those unfilled orders are still waiting.

Price comes back to fill them. That is your way in.

THREE PLACES TO LOOK

In practice the pullback lands in one of three spots. Look for them in this order.

1. **The gap in the move.** When price moves fast enough it leaves a visible hole. One candle's low sits above the high of the candle two before it, with an untouched band in between. That band is the clearest sign of unfilled orders. Price coming back into it is the best version of this.
2. **The last candle going the other way.** Right before the turn there was one final candle in the old direction. The last red candle before price went up. Where that candle sat marks where the turn started. Price often comes back to it exactly.
3. **The line that got broken.** The peak the turn closed through is now underneath price. Having been a ceiling, it often becomes the floor when price comes back to it.

Quite often two or three of these land in the same few dollars. When they do, that overlap is the best entry you are going to get, and it is worth waiting specifically for it.

HOW FAR BACK TO EXPECT

Price usually comes back somewhere between about sixty and eighty percent of the way from the fake move low to the turn high. That band is where the three spots above normally sit.

If price only comes back a little way, you probably will not get filled. That is fine. A missed trade costs nothing.

If price comes back more than about eighty percent, be careful. A deep pullback weakens the whole case. And if price goes back below the fake move low, the idea is dead.

THE DISCIPLINE

Put your order in the zone and let it work. Do not chase.

The entire point of this step is to get a better price and a tighter stop than the person who jumped in on the turn candle. Chasing throws that away. Chase it and you are back to a wide stop and an expensive entry, which is exactly where you were before you read this chapter.

CHART 17.1

The three spots marked on one move. Gap, last opposite candle, broken line.

CHART 17.2

A case where all three landed together, and the pullback went right into the overlap.

Chapter 18

Step 4: where the stop and the target go

THE STOP

The stop goes past the low point of the fake move, plus a bit extra.

The reason is exact. The whole idea rests on that low being the destination. Price went there to collect and left. If price goes back and trades below it, the idea is wrong. There is nothing to think about.

The bit extra matters on gold. Gold moves in dollars, and a stop sitting exactly on the fake move low will get taken out by ordinary noise depressingly often. Leave a few dollars, or around half of how much gold is moving on average right now. That keeps you out of the noise while still being tight enough to be worth having.

Watch for the second fake. Gold likes to fake through a line, turn, and then fake a bit deeper before the real move. If a second, lower low shows up while you are still waiting to get in, your stop belongs past that one.

What the stop is not. It is not a distance you picked because it makes the dollar amount feel comfortable. Working backwards from what you can afford to lose to where the stop goes is one of the most reliable ways to lose money slowly.

The stop is set by the chart. If the risk that gives you is too big for your account, trade smaller or skip it.

THE TARGET

The target is a line. The next real pile of orders in the direction you are going.

Everything in Part 2 is a candidate. If you are long after a fake move below yesterday's low, look up. The overnight high. Where the day started. The round number above. Yesterday's high. The twenty day high. The first one with proper space between here and there is your target.

Why a line and not a multiple of your risk. A target of "three times my risk" is a number that comes from your position, not from the market. It has nothing to do with anything price cares about.

A target at where the day started, forty dollars up, is a place gold has a habit of going.

| The market does not know where you got in. It does know where the orders are.

THE QUESTION TO ASK BEFORE YOU GET IN

Look up, or down, and ask what is actually there.

If your stop is nine dollars away and the nearest pile in your direction is seven dollars away, the numbers do not work, no matter how good the setup looks.

That one check, done before every trade, throws out a surprising number of perfectly valid setups that were never going to pay.

ONCE YOU ARE IN

Two decisions, both worth making before you get in rather than in the moment.

At the first target, taking some off and moving your stop to where you got in turns a live risk into a free ride. The cost is a smaller position for the rest. Whether that suits you is personal. Deciding it beforehand is not.

After that, either let the rest run to the next pile or move the stop up behind price as it goes. What matters is that you picked which one before you got in.

The whole trade should be written down before you are in it. Where you get in, the stop, the first target, the second target, and what happens at each one. Once you are in, your job is admin, not thinking.

CHART 18.1

The whole sequence with the stop past the fake move low plus a buffer, and both targets marked at named lines.

CHART 18.2

A double fake. First low, deeper second low, and where the stop belonged.

Chapter 19

Three that worked out

Examples to show you the shape. Read them for the thinking at each step.

ONE – THE LONDON TRAP, TEXTBOOK VERSION

The set up. Overnight, gold builds a box about eighteen dollars tall. Yesterday's low sits about six dollars below the bottom of it. Price is below where the day started, so it is in the cheap half.

Step 1, the fake move. London opens. Within forty minutes price pushes down through the bottom of the box, keeps going, and takes yesterday's low too, running about five dollars past it. Two minutes later it is back above. The fifteen minute candle closes with a long tail and its body back inside the box.

What the map said: this was a big pile with nothing much underneath it for another thirty dollars. Nothing unfinished below. Chapter 10's question came back clean.

Step 2, the turn. Over the next twenty minutes price grinds up. The last peak before the fake move sits about eleven dollars above the low. A candle closes through it. Body, not tail.

Step 3, the pullback. The turn candle was fast and left a visible gap. Price stalls, then comes back into the gap. The gap sits on top of the last red candle before the turn. The order goes in the overlap and fills about three dollars below where the turn candle closed.

Step 4, stop and target. Stop about two dollars below the fake move low. Looking up, the overnight high is roughly twenty two dollars above, with where the day started just past it. Both are proper targets with clear space.

How it went. Price came back up through the box during New York and reached the overnight high.

Why it was clean. Everything agreed. Big pile. Nothing unfinished past it. The fake move went against where the day was leaning. All three pullback spots landed together. The target was an obvious line with room.

TWO – THE ONE THAT NEEDED PATIENCE

The set up. Midweek. Price spent the London session in a narrow band. Twin tops formed twice in the morning, about nine dollars below yesterday's high.

Step 1, the first fake move, and the decision not to take it. During the New York open, price runs the twin tops. Sharp candle through, straight turn back, textbook looking rejection.

This is where Chapter 10 earned its place. Twin tops are a small pile. Yesterday's high was nine dollars above, untouched. The answer to is there a bigger pile past it was yes. No trade.

What happened next. Price turned back for about fifteen minutes, long enough that skipping it felt like a mistake. Then it swung round and ran hard through yesterday's high, going about seven dollars past before getting pushed back.

The rest. The turn came within about fifteen minutes. The pullback landed on the last green candle before the turn. Stop above the second, higher point. Target: where the day started, below, then the twenty day low well past it.

How it went. Price worked down through the afternoon and reached where the day started.

The lesson. The first fake move looked better at the time. It was the bait. Anyone who took it got stopped out and then had to watch the real move go without them. Punished twice for the same mistake.

THREE – THE ONE THAT GOT SKIPPED ON THE NUMBERS

The set up. Quiet day. Price fakes below the overnight low cleanly in the London window. The turn comes quickly. The pullback lands in a clean gap. Every step is there and correct.

Step 4, and the answer. The stop works out about eight dollars from where you would get in, because the fake move was deep and the buffer has to sit past it.

Looking up for a target, the overnight high is six dollars away. Where the day started is another three past that. Above them the chart is empty for a long way.

Six dollars of upside for eight dollars of risk. The second target barely better.

Decision: no trade.

How it went. Price rallied to the overnight high, sat there for an hour, and drifted back down. The set up was right. It would have paid almost nothing.

The lesson. Three of the four steps ask whether the pattern is real. The fourth asks whether the real pattern is worth taking. Different questions. The fourth is the one people skip, because by the time they get to it they have already decided they are in.

Chapter 20

Three that went wrong, and why

This chapter is more useful than the last one. Everyone shows their winners. Nobody shows how the losses actually happened, and that is where the learning is.

ONE – THE FAKE MOVE THAT WAS A REAL BREAK

What happened. Price went below yesterday's low with a convincing tail and closed back inside. Fake move confirmed. The turn followed. Got in on the pullback into the last red candle.

Price then made a slightly higher high, rolled over, went back through the entry, took the stop below the fake move low, and carried on down another twenty five dollars.

What went wrong. Nothing in the four steps. Every one was there.

The problem was earlier than that. There was a big news release forty minutes after getting in. The whole morning had been people getting into position beforehand, and the number sorted out the day in the other direction.

Chapter 14 covers exactly this. It was not checked.

The fix. Look at the news calendar before you look at the chart. Every day, no exceptions. A perfect set up taken forty minutes before a big number is not a set up. It is a coin toss with costs attached.

TWO – THE TURN THAT WAS ONLY A TAIL

What happened. Fake move below the overnight low, clean. Watching for the turn. A candle pushed up through the last peak, and the trade was taken on the pullback shortly after.

Price came back, took the stop, and carried on down.

What went wrong. The candle that “broke” the last peak went through it by about a dollar and closed six cents below it.

It was a tail. Chapter 16 says body close, plainly, and the reason it says so is that price visiting a level and price settling past it are two different things. This one was visiting.

Why it happened. Impatience, of a particular kind. The fake move had already happened, the set up was live, and there was a strong pull to find the proof instead of wait for it. Something unclear got read the way that let the trade happen.

The fix. If you are looking closely at a candle to work out whether it counts, it does not count. The real ones are obvious at a glance. The squinting is the answer.

THREE – RIGHT IDEA, WRONG HOUR

What happened. Fake move through a round number at 1:20pm New York. Turn about twenty minutes later. Clean pullback, order filled, stop and target both sensible with plenty of room.

Price went about two dollars in the right direction, then chopped sideways for ninety minutes, drifted back, and stopped out on a nothing candle.

What went wrong. The time. 1:20pm New York is inside the lunch window from Chapter 14. After London goes home, before the afternoon has any conviction.

Every part of the pattern was there. What was missing was people. A fake move at lunch does not mean what a fake move at 9:30 means, because the volume that would make it mean anything was not there. The pattern was just cosmetic.

The fix. The window is a filter, not a preference. A set up outside the hours in Chapter 11 is not a slightly worse version of the same thing. It is a different thing that happens to look similar.

WHAT ALL THREE HAVE IN COMMON

None of them failed because the idea is wrong.

They failed because something outside the four steps got ignored. The news calendar. The definition of a proper turn. The clock.

In each case the trader had the pattern and skipped a filter. And the filter was the part that mattered.

That is the honest shape of this. The four steps are not hard to understand. Doing every check, every time, when three of the four look good and you want the fourth to look good too, is the hard part. No amount of reading fixes that.

Which brings us to Part 5.

PART FIVE

Doing this yourself



Chapter 21

The checklist

Everything in this book is now in front of you. Nothing has been held back. There is no secret extra bit.

What is left is the practical question, and it deserves an honest answer instead of an encouraging one. Here is what doing this actually involves, written out in full.

BEFORE THE DAY STARTS

Set the chart to New York time. Once. Leave it.

Check the news calendar. Write down the time of anything big. Mark those windows as no trading.

Draw the lines that do not change during the day.

- Yesterday's high and low, using the New York day
- Last week's high and low
- The twenty, forty and sixty day highs and lows. Six lines
- Round numbers. Three above and three below where price is now, ten dollars apart, with the hundred dollar ones drawn heavier

Mark the starting prices. Where today started. Where the week started. Where midnight was.

That is about fifteen lines before the day has even begun. Most need redoing daily. The round numbers need redoing whenever price wanders away from the ones you drew.

AT THE END OF THE OVERNIGHT SESSION

Mark the overnight high and low. The box is now set and becomes the main reference for London.

Look for twin tops and twin bottoms that formed overnight. Mark any you find, and label them as small piles, because Chapter 10 says you treat them differently.

Work out the day's lean. Where is price compared to where the day started? Above is the dear half. Below is the cheap half.

DURING THE LONDON WINDOW

Between 2am and 5am New York. That is 4pm to 7pm in Melbourne through winter, 6pm to 9pm through summer.

Watch for the first move out of the overnight box. When one happens, work through this:

1. Did price go past a line you drew beforehand?
2. Did it go past by a sensible amount, roughly two to ten dollars?
3. Did it close back inside within a few candles?
4. Did it leave a tail worth at least a third of the candle?
5. Is there a bigger pile just past that line? If yes, stand down.
6. Did a body close through the last peak or dip follow, within about half an hour?
7. Where are the three pullback spots? Do any of them overlap?
8. Where does the stop go, past the fake move low plus a buffer?
9. Has a deeper second low or high shown up since?
10. What is the nearest real pile in the target direction, and do the numbers work?

Ten checks. Any one of them can kill the trade. Most days at least one does.

DURING THE NEW YORK WINDOW

Between 8:30 and 11am New York. That is 10:30pm to 1am in Melbourne through winter, 12:30am to 3am through summer.

Update the London high and low. New York often fakes through them.

Run the same ten checks against the updated map.

Pay extra attention between 10 and 11.

ALL DAY

Do not trade during London's close hour, New York lunch, Friday afternoon, or around big news.

Update the live lines as they form. Today's high and today's low change during the day, and both become tradeable lines once they have held for a while.

Write down every set up, including the ones you did not take and why. The skipped ones are where the learning is, and you cannot see them unless they are written down.

AT THE END OF THE DAY

Roll yesterday back. Redo the monthly highs and lows. Reset the round numbers if price has moved. Read back through your notes.

That is the job. It is not complicated. Every single step is something you could teach a sensible person in five minutes.

The hard part is not understanding it. The hard part is that there are about forty of these steps, they run on somebody else's clock, and they all have to be done properly every single day. Including the days you are tired and the days nothing happens.

Chapter 22

What it costs you

Some honest arithmetic.

TIME

Getting ready before the session: twenty to thirty minutes. Fifteen lines drawn or updated, calendar checked, yesterday reviewed.

Marking the overnight box: ten minutes, at the end of the overnight session.

The London window: three hours of watching, out of which you might trade for twenty minutes. The watching is not optional. A fake move happens over about ninety seconds. If you are not there when it happens, it happened without you.

The New York window: two and a half hours. Same arithmetic.

Tidying up and writing notes: twenty minutes.

If you watch both windows, that is about six and a half hours a day. One window only, three to four.

THE TIMEZONE PROBLEM

Now put those hours into a normal Melbourne life.

In winter here, the London window is 4pm to 7pm. That is the end of the working day, through dinner. In summer it moves to 6pm to 9pm, which is your whole evening.

The New York window in winter is 10:30pm to 1am. In summer it is 12:30am to 3am.

Doing both, every day, means finishing work, watching London through dinner, sleeping for a few hours, then getting up again for New York. Month after month.

It is not impossible. People do it. But it is worth saying out loud now instead of finding out in week three. There is no version of gold's active hours that is convenient from here, and the least inconvenient version still costs you your evenings.

THE STAYING-CONSISTENT PROBLEM

The real cost is not the hours. It is what happens to the checklist during them.

The ten checks in Chapter 21 are easy to do on Monday morning. By Thursday, after two losses and one you missed, the ten checks quietly turn into seven. The question about the bigger pile gets skipped, because the candle looks good and you want it to be good. The calendar does not get checked, because you checked it yesterday.

Every failure in Chapter 20 was this. Not a problem with the method. A check dropped under pressure, by someone who knew the check mattered.

That is a people problem. Reading does not fix people problems. Either you have unusual discipline that holds up over months and through the bad weeks, or you take the mechanical bits out of your own hands.

Chapter 23

What I did about it

I build systems for a living. I spend my working days looking at things people do by hand and deciding which bits should not be done by hand.

Apply that to the last two chapters and the answer is fairly clear.

Drawing fifteen lines a day is not thinking. Working out what 2am New York is in Melbourne this month is not thinking. Measuring whether a tail is more than a third of a candle, checking whether a close was a body or a spike, noticing that a bigger pile sits just past the line that got faked. None of that is thinking either. It is arithmetic. Arithmetic is what computers are for.

So I built the map.

It draws every line in Part 2. It keeps the clock in Part 3 without me having to remember which way daylight saving went. It marks the four steps in Part 4 as each one happens. Everything in this book, drawn for you.

It is free. It is on TradingView. The link is on the last page.

Two things it does not do, and will not.

It does not tell you what to buy. No entries, no position sizes, no calls. It draws the map and marks what happened. The decision is yours, which is the only sensible arrangement. Nobody who has never seen your account should be telling you what to do with it, and I have not seen yours.

It does not replace understanding any of this. A map is only useful to someone who knows what the ground means. If you skipped to this chapter, go back and read Part 4, because the tool will draw a turn on your chart and you will have no idea what to do with it.

That is the whole pitch and I am not going to make it twice.

Whether you use it or draw the lines yourself, what is in this book is the same either way. It was true before I wrote any code and it will be true after.

REFERENCE

The back of the book



Words other people use, in plain English

You will hear these thrown around. Here is what they actually mean.

Liquidity — Orders sitting and waiting. Stops, and people trying to get in at a better price. When someone says “there’s liquidity above”, they mean there is a pile of orders up there.

Sweep, or stop hunt — What this book calls a fake move. Price goes past a line, picks up the orders, and comes back.

Acceptance — Price going past a line and staying there. The opposite of a fake move.

Asian session — The quiet overnight stretch, roughly 8pm to midnight New York time.

Market structure shift, or CHoCH, or BOS — What this book calls the turn. Price closing past the last peak or dip in the other direction.

Displacement — A big fast push. Usually the candle that makes the turn.

Order block — The last candle going the other way before a turn. One of the three pullback spots.

Fair value gap, or FVG, or imbalance — The hole left behind by a fast move. Another of the three pullback spots.

Equal highs, equal lows — Twin tops and twin bottoms.

Internal liquidity — Small piles inside the range. Usually the bait.

External liquidity — Big piles at the outside edges. Yesterday’s high and low, the overnight edges, monthly highs and lows, big round numbers.

Inducement — The bait. A small pile taken first, to set up the run to the big one.

Killzone — The busy hours. Mostly 2am to 5am and 8:30am to 11am New York.

Premium and discount — The dear half and the cheap half. Above and below where the day started.

Retracement, or pullback — Price coming back into part of a move before carrying on.

Draw on liquidity — Where price is likely headed next, because that is where the orders are.

The one page map

Print this. It is the whole book on one sheet.

LINES TO DRAW

LINE	SIZE OF PILE	HOW OFTEN
Yesterday's high and low	Big	Daily
Last week's high and low	Big	Weekly
Overnight high and low	Big	Daily, after the overnight session
Round numbers, 3 up and 3 down, \$10 apart	Big	When price moves away
20, 40, 60 day highs and lows	Big	Daily
Where today, this week and midnight started	Reference	Daily and weekly
Twin tops and twin bottoms	Small — usually bait	As they form
Today's high and low, live	Big	All day

THE CLOCK – NEW YORK, WITH MELBOURNE

WINDOW	NEW YORK	MELBOURNE, APR-OCT	MELBOURNE, NOV-MAR
Overnight box builds	8pm to midnight	10am to 2pm	midday to 4pm
London	2am to 5am	4pm to 7pm	6pm to 9pm
New York	8:30am to 11am	10:30pm to 1am	12:30am to 3am
Best hour	10am to 11am	midnight to 1am	2am to 3am

(For a few weeks in March, April and October, add one hour to the April to October column.)

DO NOT TRADE

London going home, 11am to midday NY · New York lunch, midday to 1:30pm NY · Friday after 3pm NY · Around big news · Dead days

THE FOUR STEPS

- 1 **Fake move** — past a line you drew beforehand. Two to ten dollars. Closes back inside. Tail at least a third of the candle.
- 2 **Check** — is there a bigger pile just past it? If yes, stand down.
- 3 **Turn** — a body closing past the last peak or dip, within about half an hour.
- 4 **Pullback** — get in at the gap, the last opposite candle, or the broken line. Best where they overlap.
- **Stop** — past the fake move low or high, plus a buffer. Watch for a deeper second one.

— **Target** — the next real pile. Check the numbers before you get in.

Where to go next

The free tool — draws every line in Part 2 and the sessions in Part 3, on its own. Free on TradingView.

The list — the odd note about what gold is doing. No calls, no signals.

(Links on the download page.)

The legal bit, again

This book explains how the gold market works. It is not advice about what to buy or sell.

I do not hold an Australian Financial Services Licence. Nothing here is a recommendation about any investment, and nothing here takes account of your situation, your money or what you are trying to do.

Every chart example already happened. Everything said about how the market behaves is about the past, not a guess about the future. No claim is made anywhere in this book about how well any of it performs.

Trading gold with borrowed money is risky. Most people who try it lose money. You can lose more than you put in. Talk to a licensed adviser before deciding whether any of this is right for you.

WHERE THE MONEY SITS · FIRST EDITION